

InfoEdge reported a mixed bag of results in Q3FY22 with revenue above our estimates while EBITDA and PAT were marginally below our estimates.

- Revenue came in at INR 4,033 Mn, +15% qoq / +48% yoy and 3% above our estimate
- EBITDA came in at INR 1,121 Mn, +5% qoq / +64% yoy and -6% below our estimate
- EBITDA margin stood at 27.8% vs 30.2% / 25% in Q2FY22 / Q3FY21 respectively and below our estimate of 30.4%.
- Adjusted PAT stood at INR 1,113 Mn, +10% qoq / +59% yoy and -3% below our estimate
- Adjusted EPS stood at INR 8.7 vs. INR 7.9 / INR 5.4 in Q2FY22 / Q3FY21 respectively.
- Reported PAT stood at INR 3,291 vs INR 83,557 Mn / INR 699 Mn in Q2FY22 / Q3FY21 respectively. Reported PAT included INR 2,178.27 Mn of Exceptional gains due as unrealized mark to market gain due to IPO listing of PB Fintech (this numbers are adjusted for in the Adjusted PAT of INR 1,113 Mn mentioned above).

Segment-wise Performance

- Naukri:** Revenue stood at INR 2,985 Mn, +16% qoq / +58% yoy. EBITDA margins stood at INR 1,787 Mn in Q3FY22 +67.8% yoy and translating into EBITDA margin of 59.9%. Billings stood at INR 3,565 Mn, +77% yoy
- 99acres:** Revenue stood at INR 586 Mn in Q3FY22, +30.5% yoy. Operating Loss stood at INR 226 Mn vs Loss of 34.5 Mn in Q3FY21. Billings stood at INR 614 Mn, +17.3% yoy
- Jeevansathi:** Revenue stood at INR 242 Mn, -1.9% yoy. Operating losses stood at INR 372 Mn vs loss of INR 276 Mn in Q3FY21. Billings stood at INR 245 Mn, -6.5% yoy.
- Shiksha:** Revenue stood at INR 219 Mn, +65.7% yoy. EBITDA was positive at INR 20 Mn versus INR 0.8 Mn in Q3FY21. Billings stood at INR 257 Mn, +51.4% yoy.

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21E	FY22E	FY23E	FY24E
Net sales	12,727	10,986	15,000	21,808	25,418
EBITDA	4,027	2,775	4,456	6,787	7,893
Adjusted net profit	3,290	2,742	4,300	6,213	7,233
Free cash flow	3,138	1,844	4,960	8,097	7,400
EPS (Rs)	27.1	21.3	33.4	48.3	56.3
growth (%)	4%	-21%	57%	44%	16%
P/E (x)	189.2	240.1	153.1	105.9	91.0
P/B (x)	25.6	14.7	14.3	13.3	12.3
EV/EBITDA (x)	153.0	228.1	142.2	93.2	80.1
ROCE (%)	11.2	5.3	6.6	9.6	10.3
RoE (%)	13.8	7.9	9.5	13.0	14.1
Mkt Cap/Sales	48.9	59.9	43.9	30.2	25.9

Source: Company, Dalal & Broacha Research

Rating	TP (Rs)	Up/Dn (%)
BUY	5,938	16

Market data

Current price	Rs	5,119
Market Cap (Rs.Bn)	(Rs Bn)	659
Market Cap (US\$ Mn)	(US\$ Mn)	8,807
Face Value	Rs	10
52 Weeks High/Low	Rs	7,465 / 4024
Average Daily Volume	('000)	1,054
BSE Code		532777
Bloomberg		INFOE.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	38.40	38.40
Public	61.51	61.49
Othres	0.08	0.11
Total	100	100

Source: BSE

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Conference Call Key Takeaways

Naukri:

- Focus on high-value customers resulted in better pricing yields
- Strong headcount addition and high attrition in the IT services is fueling growth and better pricing in certain customers. If attrition and headcount addition come down – it will directly impact Naukri business
- Expecting non-IT hiring to pick up as Omicron recedes as companies start hiring again
- Acquisitions like Zwayam and DoSelect (Talent Assessment) are in the process of integration
- Naukri Standalone (excluding Zwayam, iimjobs and DoSelect) Billings stood at INR 309 Cr. Including the acquisitions, Billings stood at INR 375 Cr.
- iimjobs billing saw a growth of 91.7% in the quarter

99acres:

- Experiencing good momentum in 99acres despite 3rd wave of COVID in the residential segment – especially new and resale home segments.
- Recently launched product, premium listings, also saw good adoption amongst brokers.
- Listings on the portal are more of reseller and rental market and especially from Brokers and not new home market or builders therefore real estate growth is not reflecting here. Owner listings have done well and grown 15% YoY.
- Omicron may impact Q4 results and hope to recover post Omicron. Lot of competition – which have got good funding – has risen in real estate. Eg. NoBroker, Housing.com, MagicBricks. This competition is likely to result in more marketing for share and lower pricing. This trend may continue for some time till it settles.
- Management indicated that it will continue to invest in this segment as the company has been patient when the sector was down, now the sector can grow 10-15% per annum over the next few years and to combat competition which is getting easy funding.
- As far as competition from Google and Facebook is concerned, they outperform in the New Sale market as developers prefer them to get the word out, but as time passes and the new project becomes a regular project – the spend shifts from Google and Facebook to portals like 99acres, NoBroker, Housing, MagicBricks, etc.
- Therefore, investment will continue in 99acres in order to meet both the above trends.

Matrimony:

- Post 2nd COVID wave, saw decline in the sector but recovery is there after Diwali and seeing good momentum.
- Need to do things a little differently as it is not a high growth market and is mature so have to create a different strategy – company has a few ideas and working on them.
- Jeevansathi is number 2 player out of the 3 in the market. This market will move forward through consolidation and InfoEdge intends to be on the Buyers side and not seller's side. Consolidation should lead to lower competition, better pricing and margins

Shiksha:

- Which is largely an education counseling and information platform for universities and colleges in India
- Gets a few million users every month.
- Study Abroad business is doing well and management desires to grow study abroad business
- While Shiksha has more content on offline colleges and universities, Naukri Learning – which is basically e-learning and falls under Naukri segment – is doing extremely well
- Target is to grow these platforms so that they become the preferred source of information. Lot of colleges in India don't put up information online therefore, helping students do this.

Other Highlights

- Marketing spend will be slightly softer in Q4
- Rise in employee costs: tech headcount has gone up because of R&D investments in new ventures like JobHai (blue-collar jobs), AmbitionBox and BigShift (premium tech hiring platform) - which does not generate revenue and salary hikes.

Quarterly Performance Analysis

Exhibit 1

YE March (Rs. mn)	Q3 FY22	Q2 FY22	Q-o-Q change %	Q3 FY21	Y-o-Y change %
Total Revenue (INR Mn)	4,033	3,517	14.7%	2,723	48.1%
Less:					
Network & other charges	72	71	0.5%	67	7.9%
Employee Cost	1,839	1,605	14.6%	1,315	39.9%
Advertising & promotion charges	805	617	30.4%	503	60.1%
Admin & Other expenditure	196	160	22.2%	157	24.6%
Total Expenditure	2,912	2,454	18.7%	2,041	42.7%
EBIDTA	1,121	1,063	5.4%	682	64.4%
Less: Depreciation	97	99	(2.1%)	109	(11.3%)
EBIT	1,024	964	6.2%	572	78.9%
Other income (expense), net	426	440	(3.4%)	316	34.8%
Extraordinary Income	2,178	92,938			
Profit Before Tax	3,617	94,330		875	
Adj. PBT	1,438	94,330		875	
Tax	365	377	(3.1%)	176	107.6%
Deferred Tax	-39	10,396			
Profit After Tax	3,291	83,557		699	
Basic & Diluted EPS (Rs.)	25.6	649.8		5.4	
Adjusted PAT	1,073	1,015	5.7%	699	53.6%
Basic & Diluted Outstanding (mn)	129	129		129	
Adjusted EPS	8.3	7.9	5.7%	5.4	
Margin Analysis %			Change In bps		Change In bps
EBIDTA Margin	27.8%	30.2%	-243	25.0%	276
Operating Margin	25.4%	27.4%	-202	21.0%	437
NPM	26.6%	28.9%	-225	25.7%	96
Effective Tax Rate (%)	25.4%	0.4%	2,497	20.1%	527
Cost Analysis %			Change In bps		Change In bps
Cost of Revenues/ Sales	47.4%	47.7%	-28	50.7%	-334
SG&A/Sales	24.8%	22.1%	271	24.2%	58

Source: Dalal & Broacha Research, Company

Revenue growth was strong on qoq and yoy basis and 3% above our estimates.

EBITDA margins stood at 27.4% versus our estimate of 30.8%. This was mainly due to higher ad spends than expected and heightened employee costs due to headcount addition and wage hikes

Management indicated that ad spends will be lower in the next quarter. Therefore, one can expect margins to bounce back in Q4

Valuation & Outlook

Info Edge is trading at 105.9x / 91x FY23e / FY24e EPS. Naukri continues to perform well on the back of a vibrant IT services sector which has high attrition levels and gross headcount addition. 99acres performance was also healthy on the back of a robust real estate sector. Q4 might be weak for 99acres due to Omicron impact but management is positive for the long run on the back of an upcycle in real estate sector. Matrimony business should sustain growth momentum going ahead, however, profitability will not come out of the woods until consolidation occurs in the sector. We believe that Shiksha has huge potential over the long term as the College and University information space in India remains largely untapped.

We retain a BUY rating on the stock and arrive at a target price of INR 5,938, based on an SOTP valuation methodology.

Financial

Profit & Loss A/c					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	12,727	10,986	15,000	21,808	25,418
% Growth	16%	-14%	37%	45%	17%
Network & other charges	234	252	282	523	610
Employee cost	5,396	5,490	6,865	8,957	10,397
Advertising & Promotion	2,044	1,817	2,646	4,199	4,893
Admin & Other expenditure	1,026	652	751	1,342	1,625
Total Operating Expenditure	8,700	8,211	10,544	15,022	17,525
EBIDTA	4,027	2,775	4,456	6,787	7,893
Less: Depreciation	413.8	436.4	401.9	599.1	698.5
EBIT	3,614	2,339	4,054	6,188	7,194
Non-operating Income	876	1,188	1,724	2,181	2,542
Profit Before tax	4,423	3,469	5,731	8,325	9,692
Tax	1,133	728	1,431	2,112	2,459
Net Profit	3,290	2,742	4,300	6,213	7,233
Adjusted Profit	3,290	2,742	4,300	6,213	7,233
Reported Diluted EPS	27.1	21.3	33.4	48.3	56.3
Adjusted Diluted EPS	27.1	21.3	33.4	48.3	56.3

Key Ratios					
EBIDTA (%)	31.6%	25.3%	29.7%	31.1%	31.1%
NPM (%)	25.8%	25.0%	28.7%	28.5%	28.5%
RoE (%)	13.8%	7.9%	9.5%	13.0%	14.1%
RoCE (%)	11.2%	5.3%	6.6%	9.6%	10.3%
Tax Rate %	25.6%	21.0%	25.0%	25.4%	25.4%
Book Value Per share (Rs.)	200.0	348.2	358.5	383.7	416.8

Valuation Ratios					
P/E (x)	189.2x	240.1x	153.1x	105.9x	91.0x
EV/EBITDA	153.0x	228.1x	142.2x	93.2x	80.1x
P/BV (x)	25.6x	14.7x	14.3x	13.3x	12.3x
Market Cap. / Sales (x)	48.9x	59.9x	43.9x	30.2x	25.9x

Free Cash Flow Statement					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
EBITDA	4,027	2,775	4,456	6,787	7,893
FC Investment	25	500	500	500	500
WC Changes	62	59	2,016	3,380	1,832
Depreciation Tax Shield	106	92	100	152	177
Tax Expenses	1,032	582	1,113	1,722	2,003
FCF	3,138	1,844	4,960	8,097	7,400

Balance Sheet (Standalone)					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Liabilities					
Equity Capital	1,223	1,286	1,286	1,286	1,286
Reserves & Surplus	23,093	43,484	44,809	48,046	52,304
Others	566	566	566	566	566
Equity	24,882	45,336	46,661	49,898	54,156
Net Worth	24,882	45,336	46,661	49,898	54,156
Total Loans	2	2	2	2	2
Capital Employed	24,884	45,339	46,664	49,901	54,159
Assets					
Gross Block	1,276	1,776	2,276	2,776	3,276
Less: Depreciation	1,256	1,692	2,094	2,693	3,392
Net Block	20	83	182	82	-116
Investments	14,672	16,672	18,672	19,672	20,672
Investment - Others	9,854	9,436	11,091	15,542	20,710
Current Assets					
Sundry Debtors	67	60	82	119	139
Cash and Bank Balance	6,251	25,120	24,707	25,973	26,093
Other Current Assets	0	0	0	0	0
Total Current Assets	6,319	25,180	24,789	26,092	26,233
Less: Current Liabilities					
Sundry Creditors	596	675	867	1,152	1,344
Provisions	549	549	549	549	549
Other Current Liabilities	5,080	5,054	6,900	10,032	11,692
Total Current Liabilities	6,225	6,277	8,315	11,733	13,585
Capital Applied	24,884	45,339	46,664	49,901	54,159

Cash Flows (Standalone)					
YE December (Rs. Mn)	FY20	FY21	FY22E	FY23E	FY24E
PAT	3,289.6	2,741.6	4,300.3	6,212.6	7,233.1
(Less)/Add: Extraordinary Items	0.0	0.0	0.0	0.0	0.0
Less: Non Operating Income	(876.2)	(1,187.7)	(1,724.5)	(2,180.8)	(2,541.8)
Add: Depreciation	413.8	436.4	401.9	599.1	698.5
Operating Profit before WC	2,894.1	2,047.3	3,024.9	4,674.5	5,433.5
(Inc)/Dec in Current Assets	(7.2)	7.1	(22.0)	(37.3)	(19.8)
Inc/(Dec) in Current Liabilities	68.9	52.4	2,038.0	3,417.7	1,852.3
Net Cash From Operations	2,955.8	2,106.7	5,040.9	8,054.9	7,266.0
Cash Flow from Investing					
(Inc)/Dec in Fixed Assets	(24.8)	(500.0)	(500.0)	(500.0)	(500.0)
(Inc)/Dec in Investment	(4,339.1)	(2,000.0)	(2,000.0)	(1,000.0)	(1,000.0)
Add: Non Operating Income	876.2	1,187.7	1,724.5	2,180.8	2,541.8
Cash From Investing Act	2,312.5	(894.2)	(2,431.3)	(3,770.0)	(4,126.2)
Cash Flow from Financing					
Dividend Paid	(979.2)	(917.0)	(917.0)	(917.0)	(917.0)
Tax Paid on Dividend	(198.6)	(183.4)	(183.4)	(183.4)	(183.4)
Net Cash from Financing Act	(1,781.4)	17,655.8	(3,022.5)	(3,019.0)	(3,019.0)
Net Inc/Dec in cash equi	3,486.9	18,868.3	(412.9)	1,265.9	120.8
Opening Balance	2,764.4	6,251.3	25,119.6	24,706.8	25,972.7
Closing Balance Cash	6,251.3	25,119.6	24,706.8	25,972.7	26,093.4

Source: Dalal & Broacha Research, Company

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